

Procure-to-Pay (P2P) Workflow Summary

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Overview

The procure-to-pay cycle covers all activities from identifying a need for goods or services to paying the supplier. In SAP S/4HANA Cloud Public Edition – Sourcing and Procurement, this end-to-end flow is supported by apps for requisitioning, sourcing, purchasing, receiving, and invoice processing.[web:1]

Step 1: Demand and Requisition

- Business user identifies a requirement and creates a Purchase Requisition.
- PR includes material or service, quantity, delivery date, plant, and account assignment.
- Optional catalog or contract content is used to standardize items and pricing.
- Workflow routes the PR to the appropriate approver(s) based on rules.

Step 2: Sourcing and Contracting

- Buyer analyzes approved PRs and performs source determination using info records, contracts, or source lists.[web:1]
- If no valid source exists, buyer creates RFQs and collects supplier quotations.
- Buyer negotiates, evaluates, and selects the best quotation and, if appropriate, creates or updates contracts.

Step 3: Purchase Order Creation and Output

- Buyer converts PR or accepted quotation into a Purchase Order.
- System derives pricing, taxes, and delivery conditions from master data and contracts.
- Flexible workflow can require PO approval based on value or risk.
- PO output is generated and sent to the supplier via email, EDI, or SAP Business Network.[web:1]

Step 4: Goods Receipt or Service Confirmation

- Receiving department posts a Goods Receipt against the PO when goods arrive.
- System updates stock quantities and valuation and creates accounting entries.
- For services, a service entry sheet or lean service confirmation is created, reviewed, and approved before payment.[web:1]

Step 5: Invoice Processing and Matching

- Supplier submits an invoice that references the PO and, where applicable, the GR.
- System performs two-way or three-way matching and checks tolerances for price and quantity.
- Discrepancies can block the invoice and route it for resolution.
- GR/IR account reflects differences between received goods and invoiced quantities until cleared.[web:1]

Step 6: Payment and Reporting

- Once invoices are posted and due, payment runs create payment documents and send payment media to banks.
- Procurement and finance teams use analytics apps to monitor spend, supplier performance, and

process KPIs (cycle times, blocked invoices, contract utilization).[web:1]